

Exercise 1

1. What is meant by classification? Explain the two phases of classification.
2. Please provide a real-world example of a classification problem.
3. What is the learning set? Why is this set split into training and test sets?
4. What is a target attribute? What properties must it have to be used for classification?
5. Please describe the variable type of each variables in Table 1. [numerical, categorical, ordinal]

Table 1: Training set for defaulted borrower classification.

Home Owner	Marital Status	Level of Education	Annual Income	Defaulted Borrower
Y	Single	High	125	N
N	Married	Moderate	100	N
N	Single	Low	70	N
Y	Married	High	120	N
N	Divorced	Low	95	Y
N	Married	Moderate	60	N
Y	Divorced	High	220	N
N	Single	Low	85	Y
N	Married	Moderate	75	N
N	Single	High	90	Y